

Tax Populi

On the list of demands from taxpayers is the call for one regime and increase in deduction limits for investments

its—permitted in the old regime under sections 80C, 80D, and 80TTA of the Income Tax Act—should also see an increase.

Adithya Reddy, Senior Associate at professional services firm PwC, says deductions in lieu of medical insurance premium payments can be introduced in the new regime. “Since Section 80D deduction for medical premiums is only allowed under the old regime, it would be very beneficial if it were included under the new one as well and the limit of the deduction was increased,” he adds.

Another sticking point is the lack of change in the exemption limit under Section 80C for some years. Under the old regime, this section allows taxpayers to claim deductions for investments and expenses up to ₹1.5 lakh. It is not available under the new regime.

98 | IT professional Harsh urges the government to reconsider this in light of the high rates of inflation in recent years. “The limits of certain tax-related sections for deduction (like 80C) should increase,” says the 31-year-old.

Some like Shikhar Srivastava, Founder of advertising agency Ascope Advertising, have called for more sops for the self-employed. “Balancing salaries, rent, and direct and indirect taxes, we also face the constant pressure of monthly GST filing and investments to reduce our tax burden. The GST and tax regimes have forced us to rely more on chartered accountants, adding an extra financial burden. This is not just about numbers; it’s about the survival of our businesses.”

HOME COMFORTS

In the old regime, taxpayers can claim deductions up to ₹2 lakh for interest repayment on home loans

under Section 24(b) of the I-T Act. But with real estate prices shooting through the roof, especially in metro cities, that limit is proving inadequate. “Since prices are rising constantly, this restricts the buyer’s ability to acquire property, thereby also increasing the interest pay-

ments on home loans. Therefore, the deduction amount might see an increase,” says Reddy.

Archit Gupta, Founder and CEO of ClearTax, backs such an increase. “This change would provide additional incentives for purchasing residential properties, supporting



SHIVAM

Type of employment: Private sector

Income range: Up to ₹10 lakh per annum

FRUSTRATION: The two tax regimes are a constant source of stress. Every year, figuring out which one will save me more money on taxes is a guessing game. In the past, things were simpler—deductions and investments were the way to go. Now, with these new choices, I cannot make decisions, and it’s preventing me from making any investments at all, directly impacting my finances.

EXPECTATION: The current

system with two tax regimes is not just overly complex, it’s a burden that we can no longer bear. It would be far more efficient to simplify the tax code by eliminating one regime. In the regime that remains, I urge the government to provide clear and accessible tax benefits that taxpayers can understand and utilise. Streamline the investment sections to make them less cumbersome and encourage participation.



HARSH

Type of employment: Private sector

Income range: Up to ₹16 lakh per annum

FRUSTRATION: I have been working for nine years, and what I have realised is that with every appraisal I get from my company, I have to give some portion to the government, and the portion increases with every increment. What I have realised is that the rates on direct taxes are progressive. Higher earners pay more in taxes, leaving them with less money. This concept now discourages me from working hard and saving money, as I have almost reached the 30% tax bracket.

EXPECTATION: I urge the central government to increase the tax-free slab (exemption limit) in the old tax regime, keeping in mind the high rate of inflation. The limits of certain sections that allow for deductions (like 80C) should also be increased. Implementing a more balanced tax system can ensure that while higher earners contribute their fair share, they are not overly discouraged from working hard and saving and investing money due to excessively high rates.